Benchmarking

Lecture 09

BUSINESS PROCESS MANAGEMENT

IS 2206

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OUTLINE

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TOPIC 01

Introduction

Introduction

- Imagine you own a restaurant, but another restaurant nearby always has more customers, better reviews, and faster service.
- What would you do?
  - ✓ One option is to study how they operate. You could observe their ordering process, customer service, or food delivery methods and identify what makes them successful.
  - ✓ Then, instead of copying everything, you adapt the best ideas to improve your own restaurant.
- This is the basic idea behind benchmarking.
- Benchmarking is about learning from the best and using that knowledge to improve your own organization.

In Simple…
Benchmarking

Benchmarking is the process of improving performance by continuously identifying, understanding, and adapting outstanding practices found **inside and outside** the organization.

There are three important words in this definition.

- **Identifying**
  - ✓ finding organizations that perform better than us.
- **Understanding**
  - ✓ learning why they perform better.
- **Adapting**
  - ✓ modifying those best practices to suit our own organization.

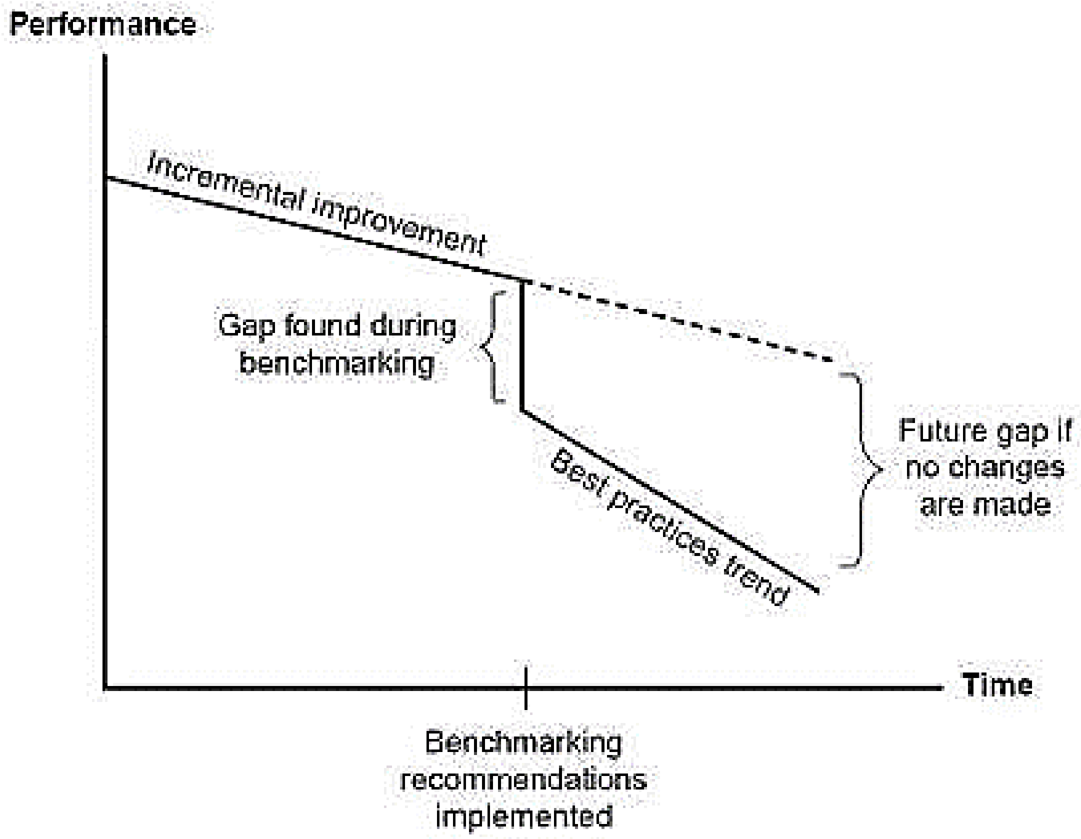
1.1 What is Benchmarking?

- Benchmarking is the process of comparing your business processes and performance with industry leaders or organizations that follow best practices.
    - Why are others better ?
    - How are others better ?
    - What can we learn ?
    - How can we catch up ?
    - How can we become the best in our sector ?

Activity

- Think about two food delivery services such as Uber Eats and PickMe Food.
- What features or services make one better than the other?
- How could the weaker service improve by benchmarking the stronger one?

1.1 What is Benchmarking Cont…



1.1 What is Benchmarking Cont…

- Without benchmarking, organizations usually improve slowly over time. This is shown by the line called Incremental Improvement.
- During benchmarking, the organization compares itself with the best-performing organizations. This helps identify the performance gap.
- Once the benchmarking recommendations are implemented, the organization can improve much faster by adopting best practices. This is shown by the steeper line called Best Practices Trend.

1.1 What is Benchmarking Cont...

- Benchmarking helps organizations close the performance gap and remain competitive.

Example : two supermarkets.

- One supermarket introduces self-checkout counters and mobile payments. The other continues using only traditional billing counters.
- Over time, the second supermarket falls behind because customers prefer faster service.

- Benchmarking helps identify this gap and encourages improvements.

1.2 KPIs Vs Benchmarking

- **KPIs (Key Performance Indicator)**
  - Measures how well your organization is achieving its own goals.
  - Decision-making and monitoring tools, used to track performance in relation to strategic goals.
  - Comparing progress in relation to a specific goal.

  - **For example:**
    - Deliver orders within 24 hours.
    - Achieve 95% customer satisfaction.

  - These are internal targets.

1.2 KPIs Vs Benchmarking

- **Benchmarks**
  - compare your performance against with another organization or the industry leader.
  - **For example,**
    - If your company delivers in 24 hours, but the best company delivers in 12 hours, benchmarking shows that there is room for improvement.

1.2 KPIs Vs Benchmarking

- Remember:
    - **KPIs compare your performance with your own targets.**
    - **Benchmarking compares your performance with others.**

- Organizations often use benchmarking to set better KPI targets.

1.3 Why Benchmark?

- **To improve competition position -** Learning from the best helps organizations stay ahead of competitors.
- **To be the best -** in their industry by continuously improving their processes.
- **To be innovative -** discover new ideas and better ways of working.
- **To reduce risk of failing -** because decisions are based on proven practices rather than guesswork.
- **To validate goals and objectives -** check whether their targets are realistic by comparing them with industry leaders

1.4 Benchmarking is not…

- **Copying -** learn from others, adapt their ideas to fit our own business.
- **A Program -** It is not a one-time program. It is a continuous improvement process.
- **A Quick Fix -** It takes time to collect data, analyze processes, and implement improvements.
- **A Replacement for CPI or BPR –** benchmarking does not replace Continuous Process Improvement (CPI) or Business Process Reengineering (BPR). Instead, it supports these improvement methods.
- **Simple & Cheap -** It requires time, effort, skilled people, and reliable information.

1.5 Benchmarking is not Competitor Research

Benchmarking	Competitor Research
Focuses on best practices	Focuses on performance measures
Strives for continuous improvement	Bandage or quick fix
Partnering to share information	Considered corporate spying by some
Needed to maintain a competitive edge	Simply a "nice to have"
Adapting based on customer needs after examination of the best	Attempting to mirror another company/process

TOPIC 02

Further About Benchmarking

2.1 Features of Benchmarking

Continuous methods of measuring & comparing firm's business process against those of another firm

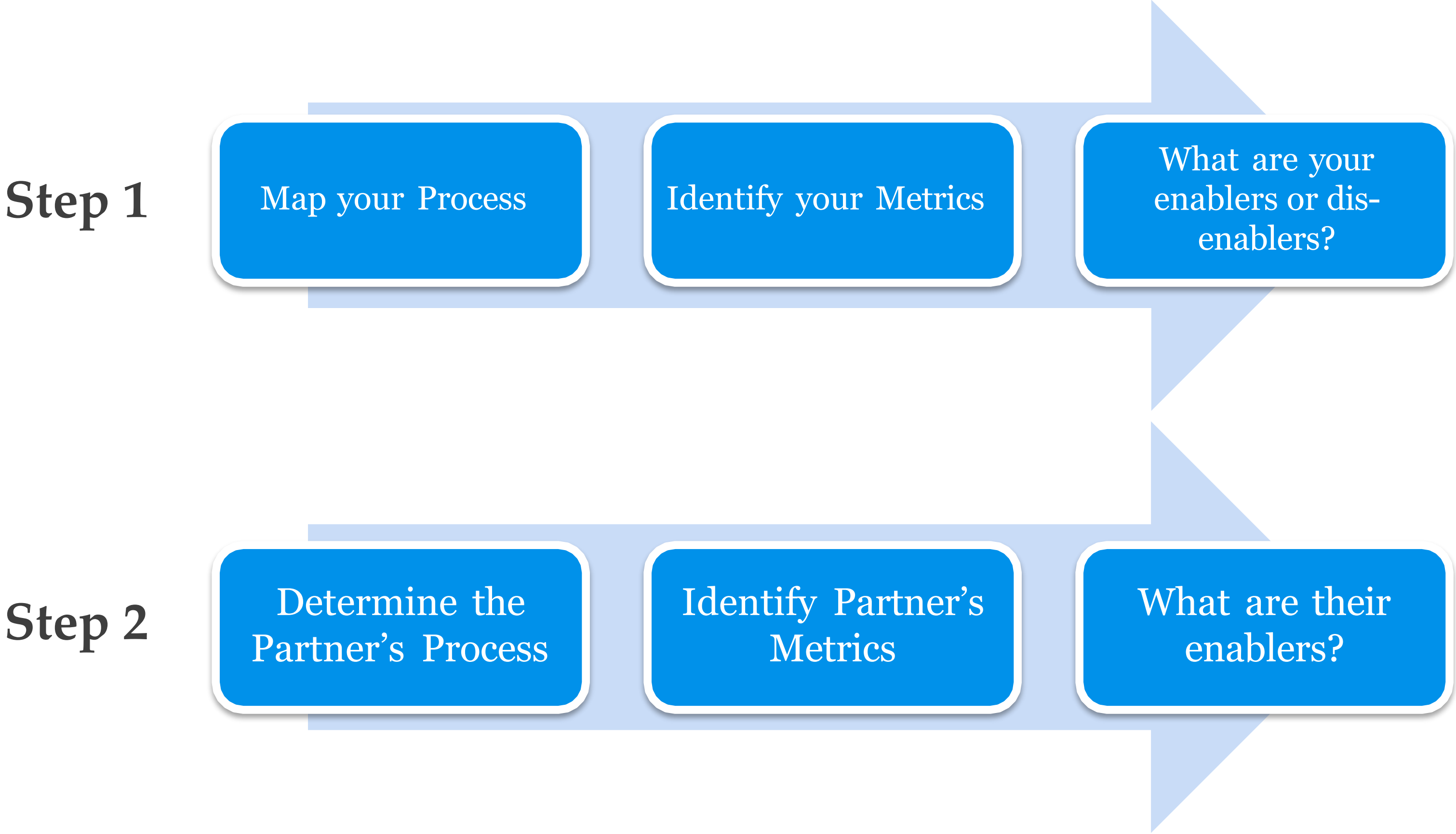
Discover performance gap between one's own process & those of leading firms.

Incorporate leading firm's process into one's own strategy to fill the gaps and improve performance.

2.1 Features of Benchmarking

- **Continuous measurement and comparison:** Organizations regularly compare their business processes with those of other organizations. This is not a one-time activity; it is done continuously.
- **Identifying the performance gap:** By comparing with leading organizations, businesses can see where they are performing well and where they need improvement.
- **Adapting best practices:** After identifying the gap, organizations adopt suitable practices from leading companies and incorporate them into their own strategies to improve performance.

2.2 General Approach to Benchmarking

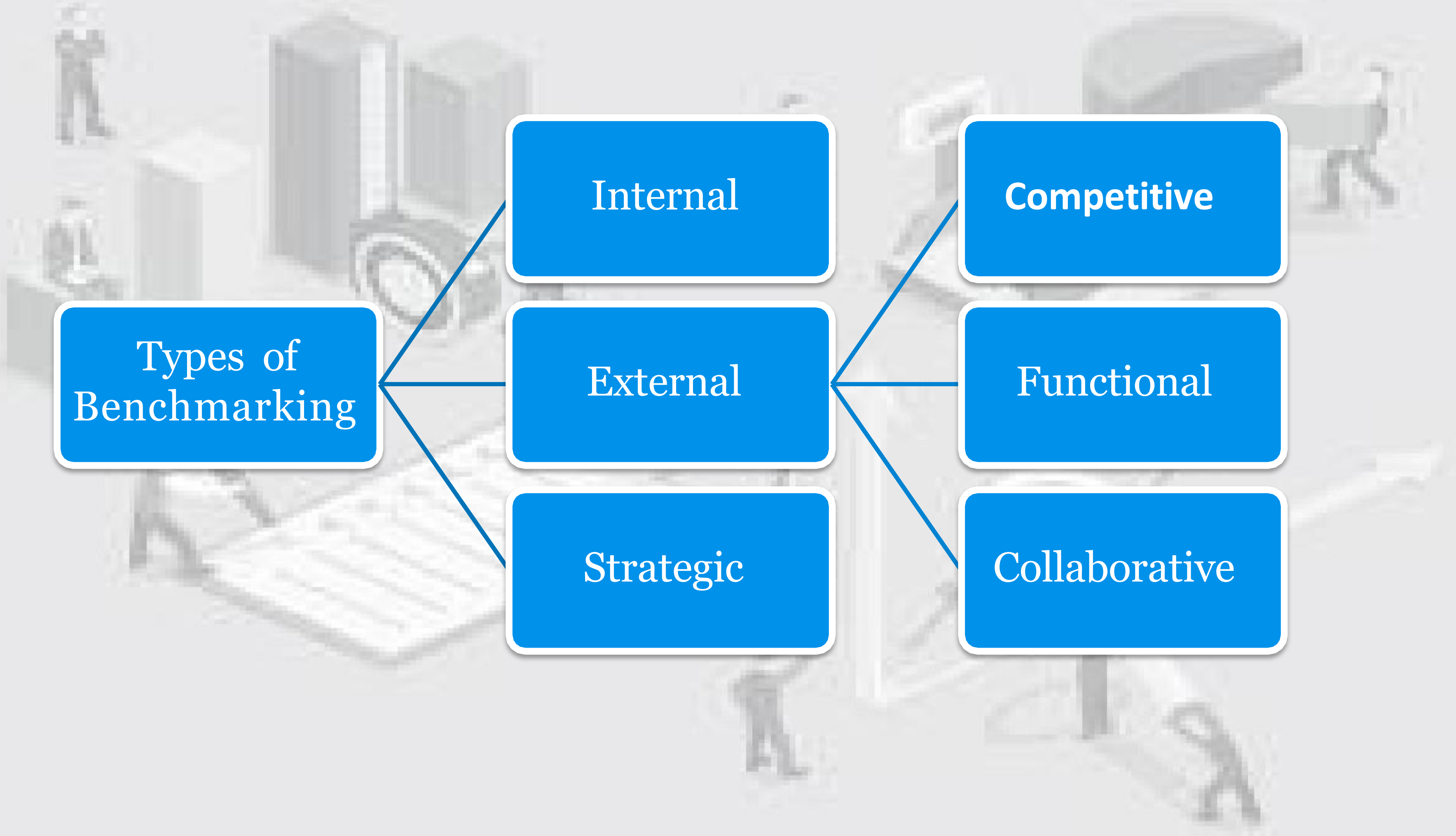


Step 1 – Understand your own organization

- First, map your business process.
- Then identify the performance metrics, such as cost, time, or quality.
- Next, identify your enablers and disablers.
    - ✓ Enablers are factors that help the process perform well, such as skilled employees or modern technology.
    - ✓ Disablers are factors that reduce performance, such as outdated systems or unnecessary delays.

Step 2 – Study the benchmarking partner

- Next, identify a suitable benchmarking partner.
- Study their business process and performance metrics.
- Finally, identify the factors that enable their success.
- After comparing both organizations, you can identify improvements for your own business.
- **Example:**
    - ✓ A hospital first studies its own patient admission process. Then it compares that process with a leading hospital to understand why patients are admitted more quickly there.".


Types of Benchmarking
Internal
External
Strategic
Competitive
Functional
Collaborative

2.3 Types of Benchmarking Cont…

1. Internal Benchmarking

- ✓ Seeks partners within the same organization to benchmark performance with each other
- ✓ Here, different departments or branches within the same organization compare their performance with each other.
- ✓ For example, one branch of a bank may compare its customer service process with another branch.

2.3 Types of Benchmarking Cont…

2. External Benchmarking

- ✓ Seeks partners from different organizations to benchmark their performance
- ✓ An organization compares its performance with another organization.
- ✓ This helps identify better practices used outside the company.

External Benchmarking

- **Functional Benchmarking**
  - ✓ Used when organizations look to benchmark similar functions across different businesses to find ways of improving like functions.
  - ✓ In functional benchmarking, organizations compare similar functions with organizations in different industries. They do not need to be competitors.
  - ✓ For example, a hospital may study the customer service process of a hotel to improve patient service.

External Benchmarking

- **Competitive Benchmarking**
  - ✓ Used when organizations consider their positions with comparison to competitors of the same industry.
  - ✓ Here, organizations compare themselves directly with competitors in the same industry.
  - ✓ For example, Dialog may compare its customer support services with Mobitel.

External Benchmarking

- **Collaborative Benchmarking**
  - ✓ Used when organizations seek the outstanding practices from organizations anywhere in the world.
  - ✓ In this approach, organizations work together and share information to identify best practices.
  - ✓ Instead of competing, they cooperate so that everyone can improve.

2.3 Types of Benchmarking Cont…

3. Strategic Benchmarking

- ✓ Used to improve overall performance by examining the long-term strategies and approaches and core competencies
- ✓ This focuses on long-term strategies rather than individual processes.
- ✓ Organizations study the successful strategies, business models, and core strengths of leading companies to improve their own long-term performance.

Activity

- Identify one real-world example for each type of benchmarking.

Type of Benchmarking	Example
Internal Benchmarking	A bank compares the customer service performance of its **Colombo branch** with its **Kandy branch** to identify best practices.
External Benchmarking	**Commercial Bank** compares its mobile banking services with **Sampath Bank** to improve its own services.
Strategic Benchmarking	**Keells Super** studies **Amazon's** long-term digital business strategy to improve its future growth and online retail strategy.
Competitive Benchmarking	**Dialog Axiata** compares its network coverage and data packages with **Mobitel** to remain competitive in the telecom industry.
Functional Benchmarking	A **hospital** studies the appointment scheduling process of an **airline** to reduce patient waiting times, since both involve reservation systems.
Collaborative Benchmarking	Several **universities** share their online learning and student support practices with each other to improve the quality of education.

2.4 Levels of Benchmarking

Activity Level

- Similar activities within the same organization

Division Level

- Different divisions in the same organization doing the same process

Inter – Firm Level

- Different firms carrying out similar tasks

Out of Industry Level

- Similar process carried out in different industry segments

2.5 Benefits of Benchmarking for BPR Process Improvements

- Improved Organizational Performance
- Accelerates Improvement
- Facilitates Managed Change
- Validates Goals and Objectives
- Provides Sense of Urgency
- Combats “It Can’t be Done” Attitude
- Way to Break Out of Old Paradigms
- Key Factor in Quality Awards
- Monitor and conduct competitive strategy

2.6 Drawbacks of Benchmarking

- Diverse information collection creating an information overload
- Reduced managerial organization if it is compared with a highly resourced firm with a huge skills gap
- Difficulty in maintaining confidentiality
- Best practice companies being unwilling to share data

Recap…

Thank You!